

Chapter 6: Introduction to Macroeconomics

Concept of Macroeconomics:

Macroeconomics is the branch of economics that studies the economy as a whole. It focuses on aggregates such as national income, total output, employment, investment, saving, and price level.

Features of Macroeconomics

- Studies the whole economy.
 - Known as *aggregative economics* or *theory of income and employment*.
 - Developed after Keynes' *General Theory* (1936).
 - "Macro" means *large* (from Greek word *makros*).
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Scope of Macroeconomics

1. Theory of national income
 2. Theory of employment
 3. Theory of money
 4. Theory of general price level
 5. Theory of economic growth
 6. Theory of international trade
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Macroeconomic Variables

Key indicators that measure the performance of an economy:

- Aggregate demand and supply
- Gross Domestic Product (GDP)
- Per Capita Income (PCI)
- Economic growth
- Inflation and deflation
- Employment and unemployment

- Balance of trade
 - Demand and supply of money
 - Business cycle
 - Government budget
 - Consumption, saving, and investment
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Closed Economy

An economy **without foreign trade** (no imports or exports).

Features:

- No trade with rest of the world
- No borrowing/lending abroad
- No foreign aid or remittance
- No movement of labor across borders

Types:

1. **Two-sector economy:** Households + Business

Symbolically, $GDP = C + I + G$

2. **Three-sector economy:** Households + Business + Government

3. Symbolically, $GDP = C + I + G + (X - M)$
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Open Economy

An economy that **trades internationally** (imports and exports).

Features:

- Economic relations with other countries
- Imports and exports goods/services
- Can borrow, lend, and give or receive aid
- Labor and remittances move across borders
- GDP and GNP differ in open economies

